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THE CONTROL OF NATURAL RESOURCES; Mineral Water and reform.

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Note that the ownership and control of Natural Resources has become a subject of legal, political and socio-cultural controversy, for whoever controls them controls the environment. Thus, it is imperative that the wealth which is created through the ownership of natural resources must be distributed in such a manner that guarantees a reasonable share for the locality from which the natural resources are produced.

In Roman Law Ownership and Possession were respectively termed *dominium* and *possessio*. The term *dominium* denotes absolute right to a thing while *possessio* implied only physical control over it. They gave more importance to ownership because in their opinion it is more important to have absolute right over a thing than to have physical control over it. See OKONKWO Theodore.
The ownership and control of natural resources is thus, very important to a country's wealth and well-being and therefore cannot just be treated with levity.

The ownership regime of natural resource can also be ascertained from international conventions and customary international law, common law and national constitutions". This situation has given rise to the emergence of different theories of ownership and control of natural resources.

In Nigeria, the ownership and control of natural resources popularly termed "resource control" in terms of crude oil and the natural gas which are produced in the Niger Delta areas of the country has given rise to ethnic agitations and environmental terrorism "due partly to a sharp reaction by the oil producing communities, which suffer grievous hardships resulting from the operations of the laws governing the sector.

Note that Within the Nigerian polity itself, ownership and control of the natural resources have equally generated crisis in the way and manner the financial proceeds are shared among the federating units of Nigeria in what is popularly known and called Revenue Allocation, which is tied to ownership and control of the natural resources. The concept of ownership is therefore very material on who controls the natural resources. For the purposes of this CLASS, *ownership* connotes *dominium,* that is "complete power to use, to enjoy, and to dispose of property at will". This means that the legal right to own and control natural resources in Nigeria resides with the federal government which exercises "the maximum degree of formalized control over..." mines and minerals, including oil fields, oil mining, geological surveys, and natural gas and nuclear energy.

Thus, ownership of natural resources as embedded in the Nigerian Constitution translates into "State Ownership", with the state granting leases of oil wells or oil fields to private companies for mining operations. This grant of mining leases to private companies gives them qualified ownership of the natural resources located within the area of the oil mining licence.

Theories of Ownership of Natural Resources

There are several theoretical concepts of ownership that govern the legal relationship and entitlements over natural resources. These concepts define the states' ownership and the individuals' ownership rights over natural resources. It has been stated that due to the fugacious nature of subsurface oil and gas the courts of the late1800's were presented with difficulties. For centuries, the legal maxim *cujus est solum, ejus est usque ad coelom et ad inferos* (the owner of the surface owns everything from the skies to the centre of the earth) has applied to ownership disputes. But due to the fugacious / short time nature of oil and gas, a neighbour could drill a well on his side of the fence and drain away an owner's oil or gas. How someone could be said to own oil or gas unless he or the state could prevent the owner's loss. Then, as now, it is impossible to trace the oil and gas produced from a well so as to determine where it actually came from in the subsurface with any degree of certainty.

1. *Absolute Ownership Theory*

This theory declares that whoever owns a piece of land owns the natural resources lying of underneath it. Absolute ownership has been defined as "the actual right a person is having on a property. A property in actual ownership can be freely transferable and inheritable". Land includes the right to minerals underneath and the airspace over it. The definition of "absolute ownership" can be expressed in the Latin maxim *quic quid plantatur, solo solo cedit* (whatever is affixed to the soil belongs to the soil). This is only a general statement of the law. This is so, because in some jurisdictions like Nigeria, though title to land vests in the Governor of each state, the natural resources which by definition is part of the land does not belong to the state but vests in the federal government. The federal government absolutely owns the minerals. See S.44(3) and item 39 of the Constitution.

Another Latin maxim that explains this theory is *cojus est solum, ejus est usque ad coelom ad inferos*, which means "to whomever the soil belongs he owns also the sky and to the depth". Again, this principle is limited to a certain extent as the advent of air and space travel have placed a limitation on the application of this theory.

Accordingly, "the implication of the ownership in place theory is that the land owner owned the land and the resources beneath his land absolutely and could confer separate titles to them by reservation, separation, or severance".

Nigeria's **Petroleum Act** codifies this theory by stating that "the entire ownership and control of all petroleum in, under, or upon any lands to which this section applies shall be vested in the state". See S. 1 Petroleum Act Cap P10 L F N vol13; therefore, in Nigeria natural resources is absolutely owned by the state.

2. The Qualified Ownership Theory

This theory states that minerals, that is, oil and gas are incapable of being owned, until they are captured and reduced into possession. This theory means that non-absolute property inheres in a person. The ownership is limited in time, restricted to one or more uses, or shared. In our context, it is simply the theory that minerals such as oil and gas cannot be owned in place before they are extracted and reduced to possession. In qualified ownership jurisdictions, what the mineral owner owns is the exclusive right to reduce the oil or gas to possession .Thus, this theory "does not accept that full ownership can be vested in oil and gas *in situ*". Jurists have described this theory as "proprietary right [that] is analogous or similar with a profit *à prendre* under English common law or a servitude right to minerals under Scots law". see Okonkwo Theodore.

The qualified theory has also been over the years referred to by some courts and writers as the **"law of capture"**. The argument is that under the Nigerian Land Use Act, the oil producing communities only own **"surface rights"**, they do not have right of access to the oil and gas. Thus where there are minerals and other natural resources underneath the soil, the federal government acquires the land and pays compensation.

3. The Non-Ownership Theory

This theory holds that the owner of a severed mineral interest does not have a present right to possess the oil and gas in place, but... has the right only to search for, develop, and produce it". See Okonkwo Theodore

The Supreme Court of Pennsylvania in the case of ***Westmoreland and Cambria Natural Gas Co. v. De Witt et al*, (18A.724, 725 (Pa 1889)**; declared support for this theory in the following words:

Natural gas belongs to the owner of the land, and is part of it, and, so long as it is on or in it, is subject to his control; but when it escapes, and goes into other land, or comes under another's control, the title of the former owner is gone.

If an adjoining or distant owner drills a well on his own land and taps his neighbor's vein of gas, so that it comes into his well and under his control, such gas belongs to the owner of the well. The owner of land, leasing it to another for the purpose of drilling gas wells thereon, and reserving the right to till the soil, after the lessee has drilled a well and has gas ready to flow into pipes by turning a valve, cannot claim that the lessee is not in possession, and that he must resort to a court of law to establish his title before a court of equity will interfere…

The court describes gas as *ferae naturae* "in common with animals, and unlike other minerals, they have the power and the tendency to escape without the volition or wish of the owner. Their fugitive and wandering existence within the limits of a particular tract was uncertain". The court stated that **"possession of the land, therefore, is not necessarily possession of the gas".**

Note however that it can be argued that there are many reasons why the non-ownership theory could no longer stand the test of time…

First is that, modern scientific technology has defeated the theory, though oil and gas move from one place to the other, it is presently capable of ownership by an individual, corporate entities or government. Second, the concept that oil and gas are migratory, though on the face of it is true, but this is limited to the extent that when oil and gas eventually reach "a trap", they remain "relatively static until the reservoir is tapped" therefore, the "judicial thought" expressed in the cases discussed above, becomes unhelpful in modern century. See Okonkwo Theodore .

It should be noted that the modern concepts of "state ownership" and "private ownership" of natural resources has been greatly influenced by either of the above theories of ownership of natural resources, and these has become "the basis of the legal system and concept of property rights adopted by different countries across the world in the regulation, use, management, transfer and alienation of their natural resource endowment".

History Ownership and Control of Natural Resources :

Historically, the ownership and control of natural resources in Nigeria pre-dates the Constitution of the Federal Republic of Nigeria 1999 (as amended). Prior to Nigeria's independence, the country and its natural resources were regarded as the property of the Great Britain.

The British people laid claim to and controlled the natural resources found in Nigeria without "the interest of the colonised people. British colonial administration enacted oil and mining regulations which vested mineral rights in Nigeria on the British government.

In 1914, Lord Lugard, enacted the Mineral Oil Ordinance "to secure easy administration over mining and oil rights … and making it a wholly British

Min oil Act 1958

concern". See Section 6 (1), 1914 Mineral Oils Ordinance, Laws of the Federation of Nigeria and Lagos (In Force 1 June, 1958 (1959).

The 1914 Mineral Oil Ordinance provides that:

No lease or license shall be granted except to a British subject or to a British company registered in Great Britain or in a British colony and having its principal place of business within her majesty's dominion, the chairman and managing director (if any) and the majority of the directors of which are British subjects.

Simply put, this statute entrusted on Lord Lugard the power to exclusively grant "sole concessionary rights over mining and oil…only to British companies and subjects…"

This statute failed to recognize the interest of Nigerians. The Minerals Ordinance 1916 provides that:

The entire property in and control of the minerals, and mineral oils, in, under or upon any land in Nigeria, and of all rivers, streams and water courses, throughout Nigeria, is and shall be vested in **the crown**, save in so far as such rights may in any case have been limited by express grant made before the commencement of this Ordinance.

The 1916 Mineral Ordinance made provisions for mining rights and payment of compensation "to the owner of any building, or of any economic trees, or crops removed, destroyed or damaged by the lessee, his agents workmen:

These statutes reflect the colonial and oppressive minds of the British imperialists who were only interested in protecting their own selfish interests without considering that of the natives.

The Minerals Act of 1958 made express provision for the exploration of petroleum from the territorial waters and the continental shelf of Nigeria and to vest the ownership of, and all on-shore and off-shore revenue from petroleum resources derivable there from in the Federal Government and for all other matters incidental thereto.

In the words of the Act:

(1) The entire ownership and control of all petroleum in, under, or upon any lands to which this section applies shall be vested in the state.

(2) This section applies to all land (including land covered by water) which –

(a). is in Nigeria; or

(b). is under the territorial waters of Nigeria; or

(c). forms part of the continental shelfs; or

(d). forms part of the Exclusive Economic Zone of Nigeria.

(3). In this section references to "territorial waters" are references to the expression as defined in the Territory Waters Act.

The Nigeria 1979 Constitution provides that the federal government has exclusive ownership of oil and solid mineral resources, but requires it to pay a minimum of 13 per cent of the revenue accruable to the Federation Account from natural resources extracted from the oil producing states to that state. The Constitution states that this derivation principle "shall be constantly reflected in any approved formula". Please note that.... The 1960 Constitution provided for 100 per cent, while the 1963 Constitution provided for 50 per cent payable to the region from where the natural resources were extracted. A recent attempt by the federal government to deprive the littoral states of revenue from the off-shore natural resources based on the derivation principle was the main subject of litigation in the case of *Attorney-General of the Federation v.*
Attorney-General of Abia State and 35 Others **(2001) 11 NWLR 689**, where the Supreme Court of Nigeria extensively discussed the provisions of the Petroleum Act 1969; the Territorial Waters Act, the 1979 and 1999 Constitutions of the Federal Republic of Nigeria. The case also raised the issues of Exclusive Economic Zone Act and the United Nations Law of the Sea, 1982.

The issue of revenue allocation which is tied to the ownership and control of natural resources by virtue of the provisions of the Constitution of the Federal Republic of Nigeria 1999 (as amended) has been judicially determined in AG Fed vs AG Abia State & ors, though the case was eventually settled politically with the country's National Assembly abolishing the on-shore and off-shore dichotomy as applied in the sharing of revenues accruing to the oil producing states. The extant statutes regulating the ownership and control of natural resources in Nigeria are;
The Constitution of the Federal Republic of Nigeria 1999 (as amended);
The Land Use Act 1978;
The Nigerian Minerals and Mining Act 2007; and the
The Petroleum Act.
The Constitution of the Federal Republic of Nigeria 1999 (as amended) vests the ownership and control of natural resources on the federal government. Section 44 (3) provides that:
Notwithstanding the foregoing provision of this section, the entire property in and control of all minerals, mineral oils and natural gas in, under or upon any land in Nigeria or in, under or upon territorial waters and the Economic Zone of Nigeria shall vest in the Government of the Federation and shall be managed in such manner as may be prescribed by the National Assembly.

Furthermore, the Constitution provides that mines and minerals, including oil fields, oil mining, geological surveys and natural gas are the exclusive preserve of the federal government of Nigeria. The exclusivity of this provision as in that of the 1963 and 1979 Constitutions represent a reflection of British colonial statutes in Nigeria that vested ownership and control of natural resources on the Crown, while granting oil exploration and mining rights and prospecting licences to corporate entities. The Petroleum Act 1969 pursued the same concept that ownership and control of "all on-shore and off-shore revenue from the territorial waters and the continental shelf of Nigeria and petroleum resources derivable there from [vest] in the Federal Government..."

The Nigeria Minerals and Mining Act which repealed the Minerals and Mining Act of 1999 provides that:

The entire property in and control of all mineral resources in, under or upon any land in Nigeria, its continuous continental shelf and all rivers, streams and water courses throughout Nigeria, any area covered by its territorial waters or constituency and the Exclusive Economic Zones is and shall be vested in the Government of the Federation for and on behalf of the people of Nigeria.

The Land Use Act vests all land comprised in the territory of each State (except land vested in the Federal Government or its agencies) solely in the Governor of the State, who hold such land in trust for the people and would be responsible for allocation of land in all urban areas to individuals. Thus, though title to land vests in the Governor, he cannot lay claim to lands which belong to the federal government and its agencies. The Governor cannot also lay claim to lands that Note:- contain natural resources, neither can he "have any direct control over the exploration and exploitation of minerals".

Note:- The issue of ownership and control of natural resources throws up the question of the legitimateness or constitutionality of the concept.

Despite the notable constitutional and statutory legislations which vest ownership and control of natural resources in the federal government, the debate on "resource control" persists and continue to be contemporary topic with various legal opinions on where true ownership and control of natural resources resides. The Niger Delta people remain aggrieved and maintain that the land and natural resources that are situate "within the Ijaw territory belong to the Ijaw communities and are the basis of our survival".

The Kaima Declaration further declares, that the Ijaw nation "cease to recognize all undemocratic decrees that rob our peoples/communities of the right to ownership and control of our lives and resources, which were enacted without our participation and consent. These include, the Land Use Decree and the Petroleum

Decree". Given the above scenario, what keep on resonating in the littoral states is the demand for resource control, that is, "acquiring political power over resource production, management and utilization in the area of location to ensure regeneration of the environment and over all sustainable development of the people."Therefore, it is arguable that a very proactive and enduring constitutional approach is needed in order to accommodate the legitimate expectation of the littoral states. Fiscal federalism appears to be the solution. There should be a constitutional inclusion of a holistic and transparent "broader public finance discipline" in terms of division of governmental functions and financial relations among the levels of federating units of the Federal Republic of Nigeria. In this way the littoral states will feel involved in the Nigerian project. The frustration has continued leading to the ongoing rise in militancy that destroys oil installations in the Niger Delta.

REFORMS.

In view of the foregoing, It becomes arguable and suggestive that not just the littoral states, but each federating unit of the federal republic should be constitutionally allowed to make laws that will govern the hydrocarbon operations, exploitation and production of the natural resources just as is obtained in Canada, South Africa and the United States. Private ownership of land and natural resources located in them should be permitted with inbuilt mechanisms to check abuse and corruption. A landowner should be granted exclusive right to carry out oil drilling operations of natural resources contained in his land. The federal government should limit its interest to taxes, land lease bonuses, royalties and rentals. This is the position in the United States (see Okonkwo Theodore) where "private property rights are firmly entrenched". In principle, natural resources located on private land remain the property of the landowner "if there are no supervening issues". In practice however, many land Ownership Agreements "exclude mineral rights, which an earlier landowner has sold to someone else". In the United States, natural resources located "on federal land are held in trust by the government and may be exploited if Congress permits". Nigeria should adopt the United States' approach, mostly as both operate the federal system of government, the former having borrowed it from the later.

Thanks.